Form No: HCJD/C-121

ORDER SHEET

IN THE LAHORE HIGH COURT MULTAN BENCH
MULTAN
(JUDICIAL DEPARTMENT)

Case No. Writ Petition No.665/2025

M.S. 555 Tobacco Merchant (SMC Pvt.Ltd.) etc. **Versus** *Federation of Pakistan, etc.*

Sr.No.of order/ Proceedings	Date of order/ Proceedings	Order with signatures of Judge, and that of parties or counsel, where necessary.
	30.04.2025	M/S Sohail Rasool, Muhammad Ashraf Sagoo, Muhammad Akram Nizam, Muhammad Tassadaq, Sajeel Ahmad and Mubashir Akram, Advocates for the petitioners. M/S Ch. Muhammad Shahzad Aslam, Asghar Ali Lodhi, DAGs. Mr. Sohail Rasul, Advocate for the respondents alongwith complainant. Through this petition under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973, petitioners through its proprietor has prayed as under:- " In view of the facts and circumstances narrated above, it is prayed: (a) That the instant petition may graciously be disposed of in the light of judgment of Division Bench of this Honorable Court in the case of M/s Taj International Vs. FBR (2014 PTD 1807). (b) That while accepting this petition the complaint No.05 dated 23.07.2024 registered by the respondents be graciously set aside, quashed for being unconstitutional, violative of fundamental rights, ultra vires of Sales Tax Act, 1990 and also declared the same illegal as well as without lawful authority. (c) It is further prayed that in the meanwhile the operation of the impugned report dated 23.07.2024 suspended, with the direction to

the Respondents to restrain from taking any adverse and coercive action against the Petitioners as well as harassment, till the decision of the present matter by this Honourable Court, in the interest of equity and justice beside proprietary.

(d) It is further prayed that the operation and proceedings pending in furtherance of impugned report dated 23.07.2024 may also be suspended till the finalization of the instant petition.

(e) Any other relief which is deemed appropriate by this Honorable court may also be allowed."

2. Facts necessary for disposal of instant petition are that on the complaint of respondent No.3, respondent No.4 registered a criminal report No.05/24 dated 23.07.2024 (Impugned Report) against the petitioner alleging therein that he has been involved in tax fraud/tax evasion in terms of Section 2(37) of the Sales Tax Act, 1990 by way of suppression of sale, maintaining abnormal closing stocks, variation of HS Codes in purchases and sales and abnormal electricity consumptions etc.

3. Learned counsels for the petitioners argued that the criminal prosecution under Section 37-A of the Act ibid can only be launched after the tax liability of the tax payer was duly assessed by the competent authority as provided in Section 11 of the Act; that term "shall be further liable" reflected in the column of penalties in Section 33 of the Act shows the intention of the legislature that criminal

prosecution can only be launched after determination of tax liability; that according to Section 37A(4) a discretion has been vested upon the Commissioner to compound the offence at any stage, if the tax payer pays the amount of tax due alongwith default surcharge and penalty as has been determined by the competent authority; that laying out condition of compounding the offence after assessment of tax also suggested that criminal proceedings could only be launched after assessment of the tax; that there was not a single order of the Competent Adjudicating Authority against the petitioner from which it could be inferred that the business transactions carried out by the petitioners are under stated tax amount; that without determination of the final liability by the competent authority, the allegation of the respondents that the petitioner is involved in tax fraud is illegal and beyond the scope of the Act ibid; that till to date no liability has been created/adjudged by the competent authority, as such launching of criminal proceedings are illegal, void, in contravention of fundamental rights of the petitioners and liable to be quashed.

4. On the converse, learned Deputy Attorney General appearing on behalf of the Federation assisted by learned counsel for the respondents laid much emphasis that it is well settled by now that civil and criminal proceedings can run side by side; that it was the discretion of the department to choose any mechanism; that

criminal proceedings can be launched against a tax payer without any order of assessment, when sufficient material is available on record that the tax payer is involved in tax evasion/fraud; that sufficient incriminating material was available on record which shows that the petitioners were involved in suppression/ undervaluation of taxable supplies, as such impugned complaint has rightly been registered against the petitioner. They conceded that neither any show cause notice qua understating any tax liability was ever issued to the petitioners nor any liability was assessed against them by the Adjudicatory Authority, however, stressed that there was no bar upon launching of a criminal proceedings against a tax payer without civil adjudication under the Act.

5. Arguments heard. Record perused.

6. There is no cavil to the proposition that civil and criminal proceedings can run side by side but at the same time it is also a time honoured principle of law that where the criminal liability dependent upon or connected with the result of civil adjudication, for safer administration of justice, criminal proceedings can be stopped till the outcome of civil matter. Reliance is placed on cases reported as *"Muhammad Tufail .Vs. The State and another 91979 SCMR 437), Sheraz Ahmad and others ..Vs.. Fayyaz-ud-Din and others (2005 SCMR 1599) and Abdul Ahad ..Vs.. Amjad Ali and others (PLD 2006 SC 771).*"

7. It is in the above context, we have to see as to whether the criminal proceedings can be launched against the petitioner without determination of tax liability by the Adjudicator. Impugned complaint registered against the petitioner in terms of Section 2(37) of the Act ibid on the allegation of tax fraud for the period of July, 2021 to May, 2024. Term "Tax Fraud" as defined by that time in Section (37) of the Act ibid reads as under:-

> " (37) "tax fraud" means knowingly, dishonestly or fraudulently and without any lawful excuse (burden of proof of which excuse shall be upon the accused)—
>
> (i) doing of any act or causing to do any act; or
>
> (ii) omitting to take any action or causing the omission to take any action [including the making of taxable supplies without getting registration under this Act[; or],]
>
> (iii) falsifying [or causing falsification] [of] the sake tax invoices] in contravention of duties or obligations imposed under this Act or rules or instructions issued thereunder with the intention of understating the tax liability [or underpaying the tax liability for two consecutive tax periods] or overstating the entitlement to tax credit or tax refund to cause loss of tax;"

Penalty of said offence has been provided in Section 33 of the Act ibid, relevant of which is reproduced herein as under for ready reference:-

Offences	**Penalties**	**Section of the Act to which offence has reference**

Any person who,-- (a) submits a false or forged document to any officer of [Inland Revenue]; or (b) destroys, alters, mutilates or falsifies the records including a sales tax invoice; or (c) knowingly or fraudulently makes false statement, false declaration, false representation false personification, gives any false information or issues or uses a document which is forged or false	Such person shall pay a penalty of twenty five thousand rupees or one hundred per cent of the amount of tax involved, whichever is higher. He shall, further be liable, upon conviction by a Special Judge, to imprisonment for a term which may extend to three years, or with fine which may extend to an amount equal to the amount of tax involved, or with both.	2(37) and General

From the above, it is manifestly clear that any tax payer, who was found to have contravened the provisions of Section 2(37)

of the Act ibid was liable to, inter-alia, pay sentence of “fine” which is dependent on the “amount of tax involved”. It is not disputed by the learned counsel for the respondents that the Special Judge/Trial Court is not vested with any authority to assess the tax or determine the amount or loss of tax involved, which falls in the exclusive domain of the Officers of Inland Revenue, against whose decision a tax payer can prefer a departmental appeal and then knock the door of Appellate Tribunal of Inland Revenue by way of filing appeal and that of the High Court in the shape of Tax Reference. (*See Sections 45-B, 46 & 47 of the Act*). Mechanism for recovery of arrears of Tax provided in Section 48 of the Act would come into play only once the Tax was finally assessed and penalties imposed continued to be unpaid. From the above scheme of law, we can easily draw the conclusion that until the determination of liability of a tax payer by the Adjudicator under the Act ibid, no criminal proceedings can be launched against him, as in the absence whereof, the Special Judge/Trial Court could not pass the sentence of fine which is the “amount of tax involved” and part of the penalty provided under the law.

Sub Section 4 of Section 37-A of the Act ibid also fortify my conclusion which for ease of reference is reproduced as under:-

> "(4) Notwithstanding anything contained in sub-section (1) to sub-section (3) or any other provision of this Act, where any person has committed a tax fraud or any offence warranting prosecution under this act, the Commissioner, may, either before or after the institution of any proceedings for recovery of tax, compound the offence if such person pays the amount of tax due alongwith such [default surcharge] and penalty as is determined under the provisions of this Act."

The above section gave a privilege to the tax payer to compound the offence subject to payment of "amount of tax due" against him. It is well settled law that "tax due" means amount duly determined under the law through an independent process of adjudication. Reliance is placed on cases reported as " *Agricultural Development Bank of Pakistan and another ..Vs.. Abid Akhtar and others (2003 CLD 1620) and United Bank Ltd., Lahore ..Vs.. Government of the Punjab and 2 others (PLD 1982 Lahore 384)"*. Seeing from this angle, if the amount of tax due against a tax payer was not assessed prior to launching of criminal proceedings, then it would amount to shut the window of compoundability for a tax payer, as without determination of amount of tax

due, the Commissioner would not be able to compound the offence.

8. Complainant, in attendance, frankly conceded that the petitioners have been regularly filing Sales Tax Returns in the office of Revenue Authorities and prior to launching of impugned complaint neither any audit report, show cause notice nor any assessment order was in the field against them, however, he was harping on the same snake that according to S.R.O. 1301(I)/2018 dated 29.10.2018 of the Government of Pakistan (Revenue Division) Federal Board of Revenue, he was vested with an authority to carry out criminal investigation and prosecution in cases involving offences punishable under the Act ibid. No one is denying the competence of the complainant of carrying out criminal investigation in cases involving tax fraud, however, the dispute is the *modus operandi* in launching such investigation. As has been discussed supra without determination of "amount of tax due against the petitioner" by the competent Adjudicator, against whose decision the petitioners have remedy of appeal, no criminal proceedings can be launched against them. Reliance in this regard is placed on case reported "*Taj International (Pvt.) Ltd. and others ..Vs.. Federal Board of Revenue*

and others (2014 PTD 1807)", wherein the learned Division Bench of this Court has observed as under:-

> " As a conclusion, we once again reiterate that civil and criminal proceedings can run independently and simultaneously or otherwise. The purpose and objective of criminalizing tax fraud and tax evasion is retribution and deterrence which is achieved through punishment or fine or both. If the law, however, goes further and criminalises recovery of tax in addition to retribution and deterrence, then tax assessment has to take place first under the provisions of the Act. In this background the term "shall be further liable" re-appearing several times in section 33 of the Act holds a chronological significance i.e., that criminal prosecution follows adjudication and assessment of tax under section 11 of the Act."

It was further held in the above citation that:-

> " In view of the above, we hold that the pre-trial steps including arrest and detention cannot be given effect to unless the tax liability of the tax payer is determined in accordance with section 11 of the Act. In this background, criminal proceedings initiated against the petitioners, and documented as the First Information Report in this case and cases mentioned in Schedule-A is quashed as being unconstitutional, violative of fundamental rights, ultra vires the Act and hence illegal and without lawful authority."

Above view of the learned Division Bench has also been affirmed by the Hon'ble Apex Court vide order dated 04.12.2024 passed in Civil Appeals No.350 to 698/2016 titled "*Directorate of Intelligence &*

Investigation-FBR through its Director etc. ..Vs.. Taj International (Pvt.) Ltd. etc."

9. For what has been discussed above, instant petition is **allowed** as a result whereof impugned complaint No.05 dated 23.07.2024 registered against the petitioner is hereby quashed, being unconstitutional, ultra vires of the Act and against fundamental rights of the petitioners.

(Asjad Javaid Ghural)
Judge

Approved for Reporting

Judge

*Azam**